

# Incentive plan

You may offer an incentive to the sales personnel to boost sales. The incentive could be a fixed amount or a percentage of the sales. It is also called commission. Typically frontline sales roles are offered commission. The commission and variable pay are not offered to the same role holders. You must ensure that there is a well documented incentive plan. Here are things which are part of the incentive plan.

## Announcement

Every unit sold over and above the target will give you extra commission of 5%

## a. Purpose and period

The incentive plan should have a defined purpose. The purpose can be revenue growth, profit enhancement, increasing customer base or other business parameters. The incentive plan should have a start date and an end date.

## SALES INCENTIVES

Purpose - Revenue Growth  
Period - 1 Month